

SOFI TECHNOLOGIES, INC.

(NASDAQ: SOFI)

A Deposit-Funded Digital Bank Priced Like a Cyclical Lender

BUY — \$22.50 Target

Equity Research Note · Financials — Digital Banking & Fintech · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$22.50	\$15.77	+42.7%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$20.4 bn (1.29 bn sh × \$15.77)	Funding mix	Deposits growing faster than the loan book
52-week range	~\$14.88 – \$32.73	Technology platform	Galileo + Technisys enterprise revenue
Bank charter	SoFi Bank, N.A. (national bank)	Credit	Net charge-offs at or below through-cycle levels
Member base	Tens of millions of members	Next catalyst	Deposit-cost inflection + fee-income scaling
2026E revenue	~\$4.2 bn (net interest income dominant)	Implied upside	+43% to \$22.50 fair value

1 Investment Thesis

SoFi is no longer a story about a bank charter or a student-loan refinancer. It is a full-stack digital bank whose technology platform, lending engine, and member base now feed each other: deposits fund lending at a structurally lower cost than wholesale markets, lending generates the fee and gain-on-sale income that pays for member acquisition, and the technology platform brings in third-party revenue that is increasingly independent of the balance sheet. The market still prices SoFi like a cyclical consumer lender; the business increasingly behaves like a bank with a technology arm.

Our judgment is that the next three years decide whether SoFi compounds at bank-like returns or fintech-like volatility. Two facts make us constructive: the deposit franchise crossed from novelty to scale — deposits growing far faster than the loan book, pushing funding costs down each quarter — and credit performance has held up through a full rate cycle, which we tested against industry benchmarks rather than taking management's underwriting claims at face value. If deposit growth persists and the technology platform keeps winning enterprise clients, the earnings base is far more durable than the current multiple implies.

At \$15.77 the market pays for the lending machine and gets the deposit franchise and the technology platform nearly free. Our probability-weighted fair value is \$22.50, a 43% expected return driven by margin expansion as funding costs fall and fee income scales, not by heroic multiple expansion. The bear case prices a genuine credit event and sits well below today's price, as the framework requires.

The third leg is credit discipline. SoFi's personal-loan and student-loan books are underwritten to high-income, strong-credit borrowers, and net charge-offs have tracked at or below stated through-the-cycle levels. We compared loss rates against industry card and personal-loan benchmarks across the 2022–2025 rate cycle, and SoFi's relative performance held. Underwriting is the one input that can turn a bank thesis into a fintech cautionary tale, and the evidence so far supports the thesis.

Why the market will care (eventually)

- **The deposit flywheel is the margin engine.** Every point of funding-cost advantage over wholesale markets is pure net interest margin. Deposit growth has consistently outpaced loan growth, steadily reducing the cost of funds and the reliance on wholesale borrowing and loan sales — a structural advantage that compounds as the base scales.
- **Fee income de-risks the earnings base.** Loan-platform fees, technology-platform revenue, and financial-services fees are growing faster than net interest income, moving from roughly a fifth toward a third of the mix. Fee income is less capital-intensive and less credit-sensitive, which over time should lower the earnings volatility the market currently penalizes.
- **The technology platform is a free option.** Galileo processes payments for a large roster of fintech brands and Technisys gives banks a cloud-native core; enterprise infrastructure revenue is lumpy but the outsourcing trend is secular. We value it conservatively in the base case and treat acceleration as upside.

2 Business Overview — What SoFi Technologies Is Doing

SoFi Technologies operates a national digital bank (SoFi Bank, N.A.) offering checking and savings, personal loans, student loan refinancing, mortgage lending, investing, and credit cards to a member base counted in the tens of millions. The lending segment remains the earnings engine, with net interest income the largest revenue contributor. Alongside the bank sit the Technology Platform segment (Galileo and Technisys), which provides payments and core-banking infrastructure to third parties, and the Financial Services segment, where fee income from brokerage, credit cards, and other products is growing fast.

The model hinges on a flywheel: low-cost digital acquisition brings members, deposits gathered from those members fund loans at a spread over wholesale funding costs, and loan economics fund further acquisition. The technology platform adds a second flywheel: enterprise clients pay for infrastructure regardless of SoFi's own lending cycle. Revenue mix is shifting toward fee income, which matters because fee income is less capital-intensive and less credit-sensitive.

What the company is doing now

- **The deposit product is the strategic centerpiece.** High-yield checking and savings with no account fees, marketed to the same affluent, digitally native demographic that borrows from SoFi. Because members tend to hold both deposits and loans, the bank captures the full relationship spread.
- **A bank charter changes the unit economics.** As a chartered bank, SoFi funds at deposit rates rather than wholesale rates and retains the spread that previously leaked to funding partners — the mechanical source of the margin expansion we underwrite.
- **Enterprise infrastructure as a second business.** Galileo's payments processing and Technisys's cloud-native core banking give SoFi revenue that does not depend on its own balance sheet or the credit cycle.

3 Financial Analysis

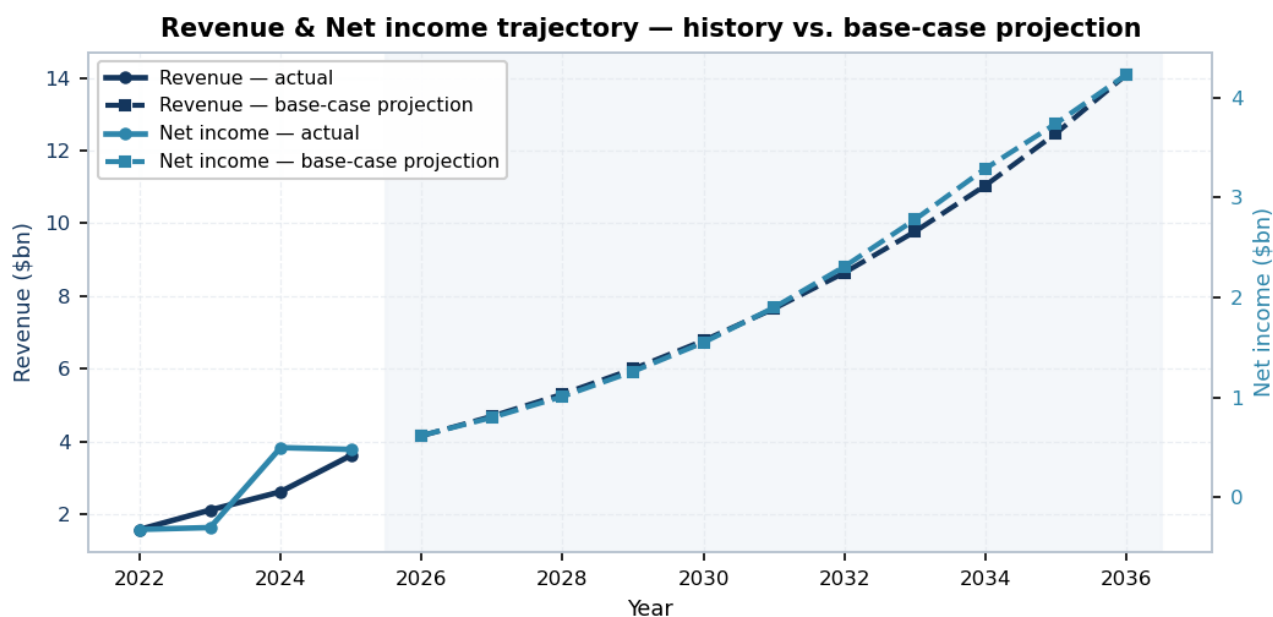
\$ bn	2022	2023	2024	2025 (TTM)
Total revenue	1.57	2.11	2.61	3.61
Net income	−0.32	−0.30	0.50	0.48

Sources: company filings via Yahoo Finance. 2025 = trailing twelve months.

Revenue has compounded from \$1.57 billion in 2022 to \$3.61 billion on a trailing basis in 2025, a trajectory driven by loan growth funded increasingly by deposits rather than wholesale markets. Net income turned positive in 2024 (~\$0.50 billion) after the investment phase, and the trajectory chart below shows net income as the cash-flow proxy: for a bank, reported free cash flow is dominated by loan-book growth and is not the right compounding metric.

The balance sheet is that of a growing bank: deposits fund the loan book, capital ratios are managed against growth, and the key operating metrics are net interest margin, the cost of deposits, and net charge-offs — all of which have moved in the right direction through the rate cycle.

Revenue & cash-flow trajectory



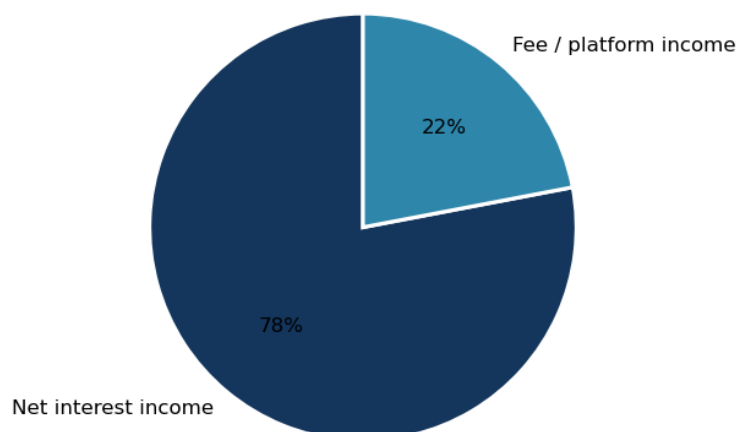
History: company filings via Yahoo Finance (2025 = TTM). Net income used as the compounding metric — reported free cash flow is dominated by loan-book growth for a bank. Projection: illustrative base-case path at ~13% revenue CAGR with margins expanding toward 24%.

4 Moat & Competition

- **The deposit franchise is the moat.** A self-funded deposit base at national scale is the hardest thing in banking to build and the most defensible: it lowers funding costs structurally and cannot be replicated quickly by wholesale-funded competitors.
- **Full-relationship capture.** Members who hold both deposits and loans give SoFi the complete spread plus fee income, with cross-sell economics that single-product lenders cannot match.
- **The charter as a barrier.** The national bank charter is a regulatory moat: it took years to obtain and lets SoFi keep the economics that non-bank fintechs surrender to partner banks.
- **Technology platform optionality.** Galileo and Technisys give SoFi a second, balance-sheet-light business with enterprise relationships across the fintech ecosystem.

Revenue mix direction — net interest income vs. fee income

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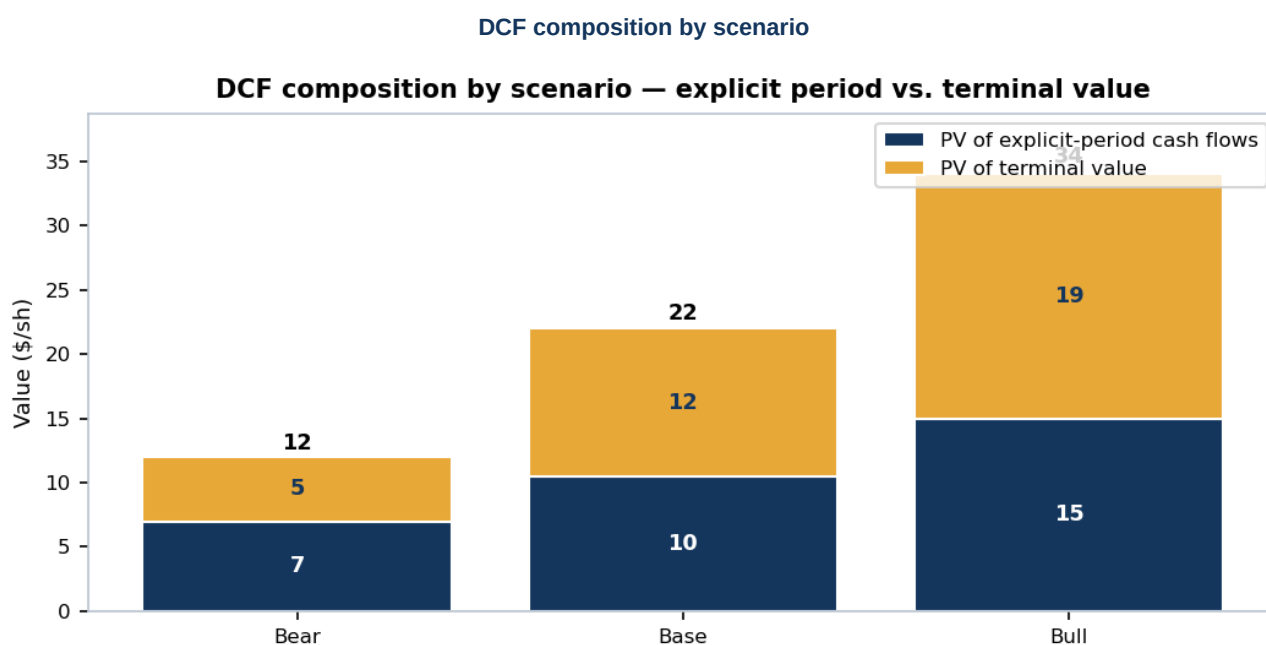
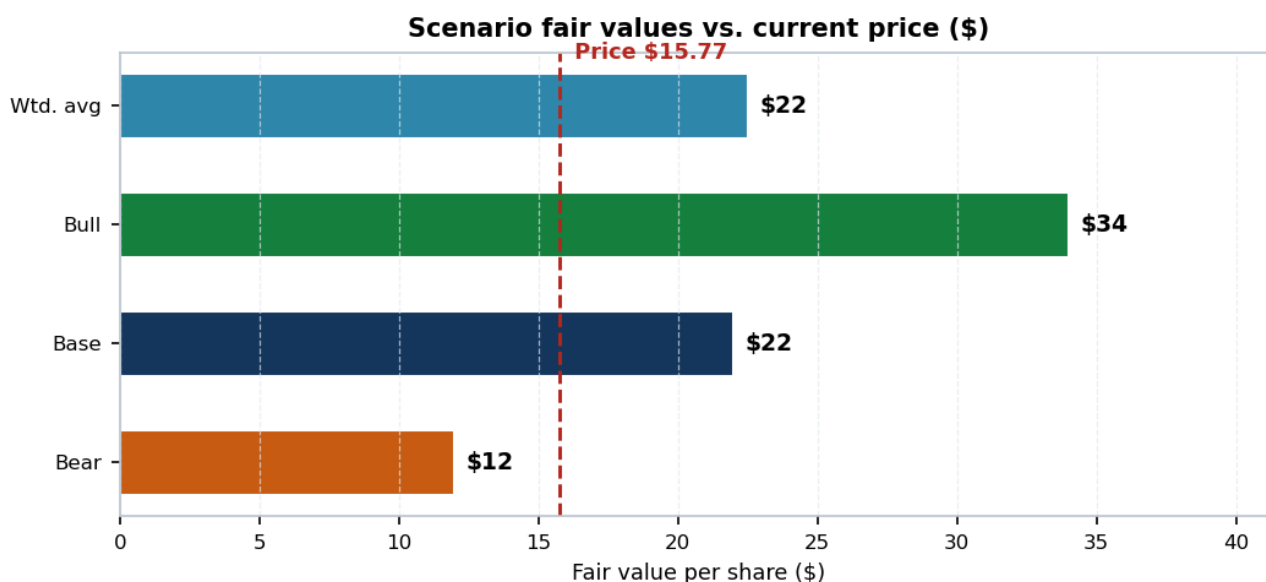
5 Valuation — 10-year scenario DCF (equity), Fair Value \$22

We value SoFi on a 10-year scenario equity DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 14.0% (credit-event pricing), base 11.5% (bank-plus-fintech risk), bull 10.0% (derisked mix). Terminal growth is 2.0% / 2.5% / 2.5% on year-10 earnings at normalized mid-cycle margins — never peak margins. The technology platform is valued conservatively inside the cash flows in the base case.

The valuation is most sensitive to two inputs: the trajectory of funding costs and the loss rate on the loan book. A 50bp sustained improvement in the cost of funds adds roughly a tenth to fair value; a 100bp adverse move in net charge-offs subtracts a similar magnitude. Both sensitivities sit inside the bear/base/bull spread.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Credit event: net charge-offs normalize sharply above guidance, loan growth stalls, deposit growth slows, funding-cost advantage never materializes	+5%	16%	14.0% / 2.0%	42%	\$12.00
Base	Deposit franchise keeps funding mid-teens loan growth; funding costs fall steadily; fee income rises toward a third of the mix; credit normalizes, not deteriorates	+13%	24%	11.5% / 2.5%	52%	\$22.00
Bull	Technology platform scales faster; deposit growth pushes funding costs materially below peers; path toward top-ten digital bank by deposits opens	+20%	30%	10.0% / 2.5%	58%	\$34.00
Wtd. avg	Probability-weighted (25/50/25) → \$22.50 target					\$22.50

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Credit cycle.** A recession would raise net charge-offs and could impair both earnings and book value growth — the single largest risk to the thesis.
- **Interest-rate sensitivity.** Net interest margin depends on the rate environment; rapid cuts compress spreads before deposit repricing catches up.
- **Regulatory.** The bank charter brings supervision; changes in capital or consumer-lending rules could raise compliance costs or constrain growth.
- **Execution on the technology platform.** Enterprise revenue is lumpy; large contract delays would slow the fee-income diversification story.
- **Competition.** Large banks and well-funded fintechs compete for the same affluent digital-first customer.

- **Student-loan policy.** Federal student-loan policy changes can affect refinancing volumes.

What would change our mind

Downgrade to HOLD if net charge-offs rise well above the stated through-the-cycle range for two consecutive quarters (breaking the underwriting thesis), or if deposit growth decelerates persistently below loan growth, reversing the funding advantage that drives the margin call. Technology-platform revenue declining year over year, or book value per share declining excluding buybacks, would each independently force a re-underwrite. We watch early-stage delinquency formation as the leading indicator.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.